

CH – 1 ACCOUNTING BASICS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 5 [Users of financial statements]

1. Which of the following explains why lenders are interested in financial statements of a business?
 - (a) Lenders need information about financial stability of business
 - (b) Lenders need information about profitability of business
 - (c) Lenders want to assess the entity's capacity to pay interest and repay loan on time
 - (d) All of the above
2. Which of the following user groups require the most detailed financial information from financial statements?
 - (a) The management
 - (b) Investors and potential investors
 - (c) Government agencies
 - (d) Employees
3. Which of the following TWO best explain why employees are interested in the financial statements of their employer?
 - (a) To compare the business with its competitors in order to decide whether to seek employment with one of those competitors.
 - (b) To assess the effect of the business on the local economy, community and environment.
 - (c) To assess whether the business will continue into the foreseeable future.
 - (d) To assess the profitability of the business in order to decide whether to invest in it.
4. Which one of the following not an internal user of financial statements?
 - (a) Employees
 - (b) Management
 - (c) Supplier
 - (d) Executive Director
5. Which one of the following not an external user of financial statements?
 - (a) Lender
 - (b) Investor
 - (c) Customer
 - (d) Management
6. Which of the following statements are correct:
 - i) Owner's Son bought a laptop from business cash is not a business transaction.
 - ii) Bank overdraft and long-term loans both are non current liabilities.

Select the most appropriate answer.

 - (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
7. Which the following would be considered as business transactions?

- i. Donation paid to a charitable organization from business bank account.
- ii. Owner paid Electricity bill of his residence from his personal cash

Select the most appropriate answer.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

8. Which of the following statements are correct:

- i. There may be no obligation to prepare financial statements of a partnership other than for specific reasons.
- ii. The main sources of GAAPs in Pakistani jurisdiction are Companies Act, 2017; and IFRSs

Select the most appropriate answer.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

9. Goods purchased on cash” is an example of:

- (a) Simple Transaction
- (b) Complex Transaction
- (c) One Off Transaction
- (d) Capital expenditure

10. Adil sublets part of his premises to Abid, the rental income shall be classified as?

- (a) Capital Receipt
- (b) Capital Expenditure
- (c) Revenue Receipt
- (d) Revenue Expenditure

11. The public interest mentioned in the Framework includes factors like:

- (a) Hosting annual sports events
- (b) Number of people employed and patronage of local suppliers
- (c) Management entertainment expenses
- (d) Director share options

12. Which pair correctly matches the user with the primary information need?

- A. Suppliers — dividend policy
- B. Lenders — credit risk and repayment capacity
- C. Investors — payroll details
- D. Government — advertising spend

13. Why might a customer care about a supplier's financial statements?
- A. To set the supplier's tax rate
 - B. To gauge reliability of long-term deliveries
 - C. To influence the supplier's dividend
 - D. To choose board members
14. Government may use financial statements for:
- A. Setting internal audit fees
 - B. Business regulation and taxation policy decisions
 - C. Marketing approvals
 - D. Approving board appointments
15. Investors mainly use financial statements to assess whether to:
- A. Change suppliers
 - B. Buy, hold, or sell investments and assess dividend-paying ability
 - C. Set wage levels
 - D. Impose taxes
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